



Graphics by PUSHPINDER KALUR/WWW.INDIA TODAY IMAGES.COM

IMAGES BAZAAR

Bullish Bullion

Gold prices have been on an upward trajectory since 2005

"Whenever there is a problem people run to a safe haven. If there is pressure on the euro zone then the perception is that exports will take a hit again and the Sensex will not give good returns. Therefore, gold prices have rallied on investment demand even though demand for jewellery has not increased."

The reason for the collapse in traditional theories of correlation is that these are times when sovereign defaults and bankruptcies by banks are commonplace. This has left very few safe zones for money. With the US slipping into a recession and its fiscal deficit concerns, the dollar has lost its value in recent times. This has eroded dollar-denominated portfolios and reserves of central banks, which primarily hold their reserves in dollars or invest in US treasury bills. The rally of gold prices in 2005 was primarily driven by the weakness of the dollar. And a weakening dollar has driven the rally thereafter too.

But now with the dollar strengthening, the negative correlation between gold and the dollar has turned positive, as gold now has a negative correlation with the euro. For example, if the dollar is strengthening, investors will park money in dollar-denominated assets and gold prices will fall, but now even as the dollar is appreciating against other currencies, gold prices are not falling. So as long as the euro falls against the dollar, prices of gold will continue to

new peaks by the time the year ends. The upside may not be much more than 5-7 per cent from here on, but there is no indication now that gold prices have peaked.

There are several reasons why analysts are bullish on gold. From countries to investors, everyone is hoarding gold. Look no further for proof: the Reserve Bank of India (RBI) has bought 200 tonnes of gold from the International Monetary Fund (IMF) in November 2009, an indication that it is diversifying its reserves and reducing its exposure to other assets like the dollar. For the longest time, the dollar has been the currency of the world. The greenback has been

the economic benchmark of sorts, till it began its journey downwards a few years ago. In the past, gold only rallied when people feared inflation to increase, which is why historically gold has had a correlation with crude oil prices. Whenever crude oil prices move up, gold prices also move up as fears of inflation increased. And typically, gold prices cooled when crude calmed down.

In the last five years, however, this correlation of gold with crude oil has not worked well. Despite crude falling from \$147 to \$47 in 2008-09, gold prices have stayed up there. Explains Ashok Mittal, vice-president and country head of Karvy Comtrade:

"If there is pressure on the euro zone then the perception is that exports will take a hit and the Sensex will not give good returns, so people turn to gold."

ASHOK MITTAL, VP and Country Head, Karvy Comtrade

